INTERNATIONAL MONETARY FUND

CAMBODIA

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STAFF REPORT FOR THE 2023 ARTICLE IV CONSULTATION—DEBT SUST AINABILITY ANALYSIS

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Cambodia: Joint Bank-Fund Debt Sustainability Analysis	
Risk of external debt distress	*Low*
Overall risk of debt distress	*Low*
Granularity in the risk rating	*Not applicable*
Application of judgment	*No*

Cambodia remains at low risk of external and overall debt distress under the Low-Income Countries Debt Sustainability Framework (LIC-DSF).[1] The current debt-carrying capacity remains consistent with a medium classification.[2] The baseline scenario assumes a steady economic recovery, largely driven by a rebound in tourism sector and manufacturing goods exports. The total public and publicly guaranteed (PPG) debt-to-GDP ratio is projected to rise by around 4 percentage points of GDP during the next decade, but its level is set to remain stable. Moreover, the debt burden indicators are projected to remain well below their thresholds under the baseline and the shock scenarios. However, the stress tests shows that debt sustainability remains vulnerable to shocks in exports and growth.

[1] This DSA follows the Guidance Note on the Bank-Fund Debt Sustainability Framework for Low Income Countries (imf.org), February 2018 (GN).

[2] Cambodia's Composite Indicator (CI) index, based on the October 2023 WEO update and the World Bank's 2022 CPIA, is 3.06. This is the first "signal" indicating that the country's debt-carrying capacity changes from a medium to strong classification. As indicated in the guidance note, two consecutive signals are needed to change the classification.

PUBLIC DEBT COVERAGE

1. The DSA covers central government debt and debt guaranteed by the central government to state-owned enterprises (SOEs). By law, state and local governments and the central bank do not engage in borrowing, and SOEs do not contract non-guaranteed loans. Currently, there are no extra-budgetary funds, and the National Social Security Fund is funded by deposits and does not constitute a liability for the general government (text table 1). Consistent with the previous DSA, external debt is defined on a currency basis.

Text Table 1. Public Sector Debt Coverage

Subsectors of the public sector	Sub-sectors covered
Central government	X
State and local government	
Other elements in the general government	
o/w: Social security fund	
o/w: Extra budgetary funds (EBFs)	
Guarantees (to other entities in the public and private sector, including to SOEs)	X
Central bank (borrowed on behalf of the government)	X
Non-guaranteed SOE debt	X

2. The DSA includes contingent liability stress tests for PPPs and a financial market shock (text table 2).

- The shock scenario for the SOE debt is set to 0 percent of GDP because, by law, SOEs do not engage in non-guaranteed external borrowing, and guarantees to SOEs are included in public debt. According to the World Bank's Private Participation in Infrastructure Project Database and information provided by the authorities, the capital stock of PPPs is estimated at 20.7 percent of GDP as end of 2022, corresponding to a contingent liability of 7.3 percent of GDP.

- The standard financial market shock is intensified in this DSA. Specifically, the financial market shock assumes contingent liabilities from financial markets to be 10 percent of GDP, twice the default value of 5 percent of GDP. This change is included to account for the risks emerging from private sector debt that has continued to grow steadily and reached 160 percent of GDP.

Text Table 2. Design of Contingent Liability Stress Test

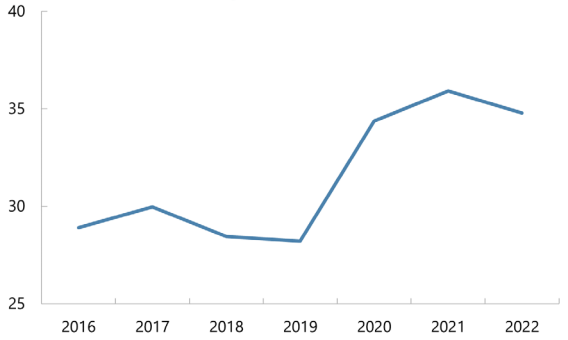
The country's coverage of public debt	The central government, central bank, government-guaranteed debt, non-guaranteed SOE debt		
	Default	Used for the analysis	Reasons for deviations from the default settings
Other elements of the general government not captured in 1.	0 percent of GDP	0.0	
SoE's debt (guaranteed and not guaranteed by the government) 1/	2 percent of GDP	0.0	Not allowed by law
PPP	35 percent of PPP stock	7.3	Staff estimates
Financial market (the default value of 5 percent of GDP is the minimum value)	5 percent of GDP	10.0	Giving risks emerging from private external borrowing
Total (2+3+4+5) (in percent of GDP)		17.3	

1/ The default shock of 2% of GDP will be triggered for countries whose government-guaranteed debt is not fully captured under the country's public debt definition (1.). If it is already included in the government debt (1.) and risks associated with SoE's debt not guaranteed by the government is assessed to be negligible, a country team may reduce this to 0%.

BACKGROUND ON DEBT

3. Cambodia's external public debt amounted to around US$ 9.97 billion (35 percent of GDP) by end-2022. The external debt-to-GDP ratio decreased slightly in 2022, by 1.1 percentage points, as GDP growth increased (text figure 1).[3] Bilateral debt continues to account for around 70 percent of total external debt, with more than half owed to China (text table 3).[4] External debt has been accrued on concessional terms, with a present value of around 21 percent of GDP at end-2022.

Text Figure 1. External Public Debt (in percent of GDP)



Sources: Cambodia authorities and IMF estimates.

Text Table 3. External Public Debt (2022)

	In million of U.S. dollars	In percent of GDP	In percent of external debt
Total	9,971	34.6	100.0
Multilateral	3,234	11.2	32.4
Bilateral	6,737	23.4	67.6
of which: China	4,002	13.9	40.1

Sources: Cambodia authorities and IMF estimates

4. Public domestic debt remains negligible. To support financial market development, the authorities started to issue local-currency government bonds in September 2022.[5] The total amounts of issuance in 2022 was US$ 17.5 million, less than 0.1 percent of GDP. This was less than what previously planned (US$ 300 million), reflecting delays in issuance and some unsuccessful auctions—potentially reflecting lack of appetite for local-currency government bonds due to currently high rates for non-government rates (including local-currency banks' deposit rates). All the bonds were issued at a 2.2 percent yield with a 1-year maturity. To improve the appetite for the bonds, the authorities increased the yield on 1-year maturity bonds to 3.5 percent and widened the bonds' maturities (to 2-,3- and 5-years) in 2023. Moreover, the authorities plans to deduct 50 percent of withholding tax on the interest earned from holding and trading the bonds, and set tax exemption on capital gains from purchasing and trading the bonds for three years. For 2023, the authorities' plan is to issue local-

[3] The debt stock includes legacy arrears to the Russian Federation and the United States of about 2.2 percent of GDP. As the status of negotiations of these arrears remains unchanged compared to the previous DSA, this analysis assumes no debt restructuring. According to Cambodia Public Debt Statistical Bulletin, "Old Debt Under Negotiation" in Table 3 "Debt Stock." The data reflect principal amounts, i.e. excluding any accumulated interest. The arrears relate to obligations made by the then-government in the early 1970s, which have been refuted by subsequent governments. There has been no progress at resolving this issue during Paris Club negotiations. In addition, as the arrears reflect diplomatic disagreements, they do not trigger an "in debt distress" rating.

[4] According to Cambodia Public Debt Statistical Bulletin, (see Table 3 "Debt Stock"), the multilateral debt in the text table 3 is breakdown by the Asian Development Bank at US$ 2,051 million, the World Bank at US$ 934 million, and others (Cambodia does not have loan liabilities to the IMF).

[5] The authorities drafted the preliminary "Policy Framework of Development on the Government Securities" in September 2021, which aimed at (i) the first securities issuance in 2022, (ii) setting principles for the usage of fund from government securities, and (iii) appointing the NBC as a fiscal agent and arranging the issuance operations. Since September to December in 2022, there were five auctions to issue the bonds.

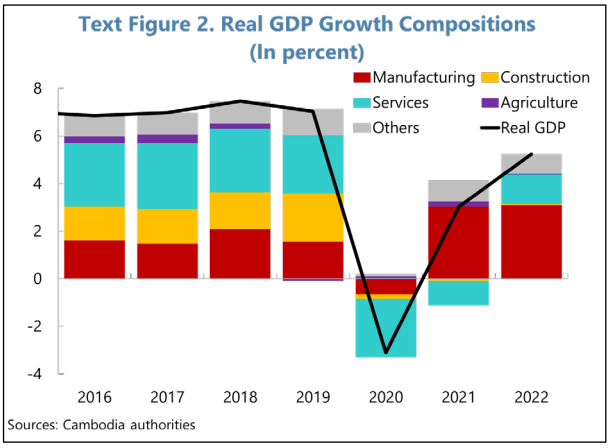
currency government bonds for US$ 200 million totally, but only US$ 27 million have been issued in the first half of the year, and a new auction is expected to be launched by the end of the year.[6]

5. **PPPs are assumed to continue to play an important role in financing investment projects,** in expectation of diminishing access to concessional financing and slow progress in developing domestic debt markets. The PPP stock more-than-doubled between 2010 and 2015, and is estimated to have reached around 20.7 percent of GDP by end-2022. The authorities have been taking welcome steps to strengthen the PPP framework in line with past Fund recommendations, including a system for risk assessment and the necessary legal, regulatory, and institutional arrangement for PPP management.[7]

6. **Private external debts in Cambodia are excluded from this analysis.** Staff estimates private external debt at about 43 percent of GDP in 2022.[8] Excessive external borrowing by the private sector could increase its insolvency risk (see Annex VI) and the possibility of government interventions either in the form of assumption of private liabilities or in the form of fiscal support (such as tax-relief measures to affected sectors). In addition, the insolvency of the private sector would increase financial vulnerabilities—this is modeled in the stress test as a financial shock of 10 percent of GDP.

BACKGROUND ON MACRO FORECASTS

7. **The Cambodian economy is steadily recovering from the COVID-19 pandemic.** The recovery in both domestic and external demands led to an increase in real GDP growth from 3.0 percent in 2021 to 5.2 percent in 2022 (text figure 2). The manufacturing sector was the biggest contributor to growth in 2022, adding over 3 percent to real GDP. The service sector (driven by tourism) also had a strong rebound from the pandemic. In 2023, exports have declined in the first quarter, but have started to recover in recent months, led by electronics.



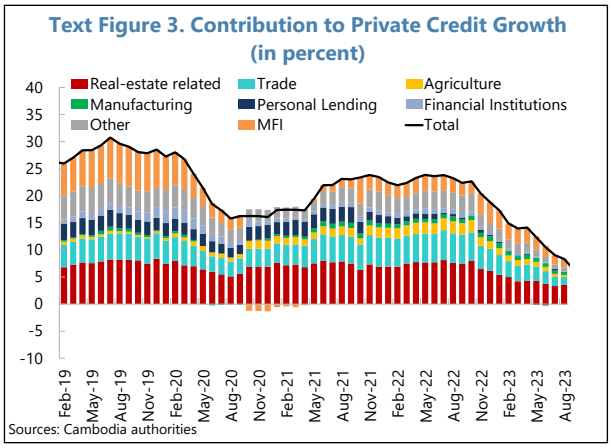
8. **Credit growth decelerated to 8.1 percent y/y in August 2023,** down from 23.5 percent in 2021. The deceleration was led by the reduction in credit growth in real estate and hospitality (text figure 3). The lower credit growth is driven by the tightening of financial conditions, strengthening of banks'

[6] To develop issuance of local-currency government bonds, the Cambodia Securities Exchange is planning to establish its new platform by the end of 2023.

[7] For example, a central PPP unit had been established under the Ministry of Economy and Finance, and a new law on PPP was enacted in November 2021.

[8] According to CEIC data, the total external debt amounted to US$ 22.4 billion in 2022, and private debt can be estimated at about US$ 12.4 billion after deducting PPG external debt.

credit standards but is also an outcome in part of weaker demand for credit. The private credit-GDP ratio, even after the slowdown, remains elevated at around 160 percent.



9. The fiscal stance was broadly neutral in 2022. The primary deficit for 2022 is estimated 0.6 percent of GDP, a significant reduction from the 6.7 percent deficit in 2021. The improvement was primarily driven by higher-than-expected GDP growth outturns and an outperformance of tax revenues relative to projections (about 0.6 percent of GDP), as well as good performance in non-tax revenues owing to the recovery in tourism. Meanwhile, social spending decreased by around 6 percent y/y as the targeted fiscal measures used to support households and firms affected by the pandemic were phased out.

10. The current account deficit narrowed in 2022. The current account deficit declined from about 42 percent of GDP in 2021 to about 26 percent in 2022. The reduction of the current account deficit is largely driven by the decline in gold imports which surged in 2021.[9] Goods exports, especially garments and electronics, and tourism also contributed.

11. The recovery is assumed to continue in the baseline projections. The baseline outlook in 2023-24 is as the followings and the medium-term projections are in line with the previous DSA (text table 4). Medium term growth is projected at around 6.5 percent, though subject to large uncertainty. While this rate of growth is comparable with that experienced in neighboring countries at a similar stage of development, its achievement will crucially depend on the implementation of envisaged reforms.[10]

[9] The reasons for the large inflows of gold are not certain, and hence it is difficult to assess whether the flows are likely to be temporary or permanent. Gold imports increased substantially from the end of 2020 through 2021 following the increase in the price of gold, suggesting perhaps purchases in expectation of future price increases, but the size of the inflows is much larger (relative to nominal GDP) than would be expected on the basis of hedging flows observed in other countries. See the 2022 IMF Cambodia AIV for a detailed discussion.

[10] The government is in the process of developing the strategy to support the country's ambitious goal of reaching upper-middle-income status by 2030. The new "Pentagon Strategy", announced in August 2023, focused on five strategic objectives for Cambodia's next stage development: 1) crisis-resilient economic growth, 2) job creation, 3) poverty reduction, 4) improving governance capacity and quality of public institutions, and 5) sustainable socio-economic development. The Phase I of the Strategy, for immediate implementation starting 2023, includes six key policy programs: i) expanding universal healthcare, ii) offering vocational training for at-risk youth, iii) formalizing social aid for vulnerable households, iv) transitioning workers from informal to formal economies, v) coordinating and funding stable, fair pricing for key crops, vi) deploying agri-tech officers in all farming communities and forming rural farmers' associations.

Text Table 4. Baseline Macroeconomic Assumptions (2022-2030)

	Previous DSA (2022)				Current DSA (2023)			
	2022	2023	2024	2025-2030	2022	2023	2024	2025-2030
Real GDP (%, YOY)	5.0	5.4	6.1	6.4	5.2	5.3	6.0	6.4
Inflation (%, YOY)	5.8	3.5	3.0	3.0	5.3	2.3	3.0	2.8
Primary Deficit (% of GDP)	3.8	4.7	3.1	2.5	0.6	3.4	1.7	2.4
Current Account Deficit (% of GDP)	30.0	14.1	9.9	6.7	26.1	2.1	5.9	6.2

Sources: IMF staff estimates and projections

- ***Growth and Inflation.*** Growth for 2023 is projected at 5.3 percent in 2023. This is backed by the recovery in tourism and non-garment exports—notably solar panels and electric parts, as well as fiscal support. Garment export has declined, showing only modest signs of recovery in the third quarter. The output gap is projected to continue closing and turn positive by 2025.[11] Medium term growth is projected at around 6.5 percent, but its achievement will crucially depend on the implementation of envisaged reforms. Inflation is expected to average at 2 percent in 2023 and converge to its long-term trend, around 3 percent, absent of further shocks in commodity prices.

- ***External sector***. The current account deficit is expected to fall significantly in 2023. The deficit is projected to decline to 2.1 percent of GDP at the end of 2023, mainly due to a significant decline in gold imports (reflecting the restriction in gold imports during the first 6 month of the year), and the improvement in the trade balance excluding gold (with stagnant imports especially in garment materials). The recovery in tourism flows and remittances also contributed to the decline. Starting in 2024, the current account deficit is expected to converge to its historical average, and international reserves are expected to remain stable and above 7 months of imports throughout the projection period. The deficit remains mostly financed in the baseline.

- ***Fiscal sector***. The primary deficit is expected to widen to 3.6 percent of GDP in 2023, before falling to around 2.0 percent in 2024 and reaching 2.5 percent over the medium term. The increase in the deficit in 2023 is mostly due to higher spending needs associated with the 2023 South-East Asia Games and the General Election, as well as a scheduled public sector wage increase and the finalization of incomplete infrastructure projects from 2022. Starting from 2024, employee compensation as percent of GDP is expected to stay at the current level, while social benefit expenditures are projected to scale back somewhat—but still considerably higher than the pre-pandemic period—as temporary support measures for the pandemic and for the

[11] In terms of key drivers of growth, the projections assume that exports will strengthen as external demand from advanced economies picks up starting in 2024, while the tourism sector will continue to gradually recover from the COVID-19 induced shock.

increase in prices are removed.[12] The revenue to GDP ratio is expected to increase modestly over the medium term, supported by reform efforts in tax and custom administrations.[13]

12. Uncertainty around the outlook is high, with risks tilted to the downside. The most pressing risks are:

- ***A deeper and more prolonged slowdown in import demand from advanced economies***: Cambodia's sizeable exports to advanced economies means that a weaking in their economic activity is a significant downside risk for Cambodia. This is specially the case for the US, which accounts for over 40 percent of Cambodia's exports. Staff estimates suggest that 1 percent decline in US economic activity could reduce Cambodia's output by about 0.5 percent in the short term. This effect is larger for those sectors (such as textiles) that are export oriented.

- ***Weaker short- and medium-term prospects for the Chinese economy***: Cambodia economy is strongly linked to China through FDI, tourism, and goods trade. Staff estimates suggest that 1 percent decline in Chinese economic activity could reduce Cambodia's output by about 0.6 percent after 1 year. A decline in China's potential growth will have also significant negative medium-term effects on the Cambodia's economy, especially for those sectors (such as constructions) that are relatively more input dependent from Chinese production.

- ***US monetary tightening impact***: The US monetary tightening is likely to negatively impact the Cambodia economy by reducing demand from the US and increasing private sector solvency risks through higher domestic lending rates and lower firms' profits. A 100-basis point increase in the US monetary policy rate is estimated to reduce Cambodia GDP by about 1.1 percent after four quarters.

- ***High levels of private debt.*** Given large build-up of private sector debt, increasing interest rates could put pressure on private sector balance sheets. While, at the aggregated level, Cambodia corporate solvency risks are relatively small in the case of large increases in lending rates, there is marked heterogeneity across industries and firms, with pockets of solvency risks that could emerge in the face of significant increase in rates and decline in profits.

- ***Geo-economic fragmentation***: Cambodia's high level of trade openness and strong trade and FDI ties with the US and China make it particularly susceptible to trade fragmentation risks. Through trade policy uncertainty and trade restrictions, the economic costs of geo-economic

[12] The pandemic cash transfer program for the poor and vulnerable households was concluded in September 2023. The cash transfer program for at-risk households affected by rising fuel and food prices, introduced in December 2022, concluded in July 2023.

[13] The authorities are aware of the need to rebuild the fiscal buffer which had been drawn down during the pandemic and are committed to a gradual consolidation path starting in 2024. To boost revenues, they plan to focus on improvements in administration and efficiency, rather than introducing new taxes. They informed that the implementation of capital gains tax is still under discussion, while policies on excise taxes for 2024-2028 are being finalized.

fragmentation could be potentially large for Cambodia, and well above those of other ASEAN economies.

Other risks include commodity price volatility which could cause inflation to persist, extreme climate events—including flood, droughts and changing monsoon patterns—that could hinder agricultural and industrial production, and, over the medium term, a disorderly climate transition that could create supply disruption and lower growth.

13. Financing assumptions reflect growing domestic debt issuance, while external debt remains the dominant source. The level of external borrowing is set at around 3-3.5 percent of GDP over the medium term, before declining to 2.6 percent of GDP by 2030 as the fiscal deficit narrows and domestic financing increases. For the purposes of this DSA, new external debt is expected to remain largely concessional, with an average maturity of 27 years and a nominal interest rate of less than or equal to 2 percent. The analysis assumes that the annual amount of domestic bonds issued increases gradually, from less than 0.1 percent of GDP in 2022 to about 2 percent of GDP in 2043. Demand for domestic securities is supported by the growing financial industry.[14] Outstanding domestic PPG debt is therefore estimated to reach around 10 percent of GDP by 2043, accounting for about 25 percent of the total outstanding PPG debt.

14. The realism tools suggest that macroeconomic and fiscal assumptions are broadly reasonable (figure 4). The projected growth path is in line suggested by standard fiscal multipliers. The contribution of public capital to GDP growth in the baseline scenario is broadly in line with historical values. The primary deficit-to-GDP ratio is assumed feasibly over the next three years in the baseline projection as this adjustment is not in the top quartile of the distribution for LICs.

- The large current account deficit in 2021-22 has been crucially led by the surge in gold imports and financed mostly by unidentified other short-term inflows. Under the assumption that this surge was temporary, the baseline scenario projects the deficit would shrink and the other short-term flows would return to the outflows like before 2020 (as reflected in the residuals of the external debt's dynamics identified in Table 1 and Figure 3). The large share of unidentified flows in turn reflects measurement issues in the BoP data, which complicate the assessment of external sustainability.

COUNTRY CLASSIFICATION AND DETERMINATION OF SCENARIO STRESS TESTS

15. Cambodia's debt-carrying capacity is classified as medium, same as that in the previous DSA. Cambodia's Composite Indicator (CI) index, based on the October 2023 WEO update

[14] Should demand for domestic issuance be less than expected, the government could choose to further draw down domestic deposits it holds at the central bank.

and the World Bank's 2022 CPIA, is 3.06.[15] The current debt-carrying capacity remains "medium" (text tables 5 and 6).

Text Table 5. Cambodia's CI Index

Debt Carrying Capacity	Medium		
Final	Classification based on current vintage	Classification based on the previous vintage	Classification based on the two previous vintage
Medium	Strong 3.06	Medium 2.96	Medium 2.97

Text Table 6. Debt Burden Thresholds

EXTERNAL debt burden thresholds	Weak	Medium	Strong
PV of debt in % of			
Exports	140	180	240
GDP	30	40	55
Debt service in % of			
Exports	10	15	21
Revenue	14	18	23
TOTAL public debt benchmark			
PV of total public debt in percent of GDP	35	55	70

16. Stress analysis include tailored stress test. Cambodia is highly vulnerable to climate change and is likely to experience an increase in temperatures, as well as longer and more intense droughts and flooding. Hence, in addition to the six standardized stress tests, the analysis includes a natural disaster scenario, calibrated assuming a significant mitigation cost of 10 percent of GDP (around US$ 2.9 billion) and a fall in GDP growth and exports using interaction coefficients of 1.5 and 3.5, respectively. The contingent liability stress test is based on the quantification of potential risks stemming from PPPs (7.3 percent of GDP) and financial markets (10 percent of GDP).

EXTERNAL AND PUBLIC DEBT SUSTAINABILITY

17. The external debt indicators show that Cambodia's risk of debt distress remains low. External debt is projected to keep in the 35.5 percent of GDP until 2026, from 34.8 percent of GDP in 2022, gradually falling to 32.4 percent of GDP by 2033 and 29 percent of GDP by 2043 (table 1). In present value terms, the external debt-to-GDP ratio also falls, from 21.9 percent of GDP to 19.4 percent of GDP over the same timeframe. The large share of concessional loans means the debt service-to-exports and debt service-to-revenue ratios remain far below their indicative benchmarks throughout the forecast horizon.

18. Stress tests suggests that Cambodia's external debt is vulnerable to shocks to exports. Compared to shocks to real growth, the fiscal balance, exchange rate depreciation, and external

[15] The revised LIC-DSF determines the debt sustainability thresholds by calculating a Composite Indicator. The CI is a function of the World Bank's Country Policy and Institutional Assessment (CPIA) score, international reserves, remittances, individual country and global economic growth. The calculation is based on 10-year averages of the variables, across 5 years of historical data and 5 years of projection.

flows, the impact of an exports shock is the most severe—the present value of the external debt-to-GDP ratio increases sharply, from around 22 percent of GDP in 2023 to around 35 percent of GDP, falling short of the 40 percent threshold of GDP, and gradually falls back to about 33 percent over the medium term (figure 1).

19. The path of public debt broadly follows the one of external debt. Under the baseline, the total PPG debt level increases from 35 percent of GDP in 2022 to around 40 percent of GDP in 2033, with an increased domestic financing mix (table 2). The present value of the total debt-to-GDP ratio is estimated to increase gradually to 30 percent throughout the timeframe but remains well below the 55 percent benchmark. The debt service-to-revenue ratio is estimated to pick up over the long term, along with a rising share of domestic debt. The stress tests indicate that PPG debt is vulnerable to shocks to growth: under the growth shock scenario, the present value of the total debt-to-GDP ratio rises to 50 percent by 2033 but does not breach the indicative threshold of 55 percent. The contingent liability stress test is the most extreme shock for the debt service-to-revenue ratio, which results in a noticeable spike in 2029 (figure 2), as the stress from the financial market (10 percent of GDP) results in temporary borrowing needs, increasing debt servicing.

RISK RATING AND VULNERABILITIES

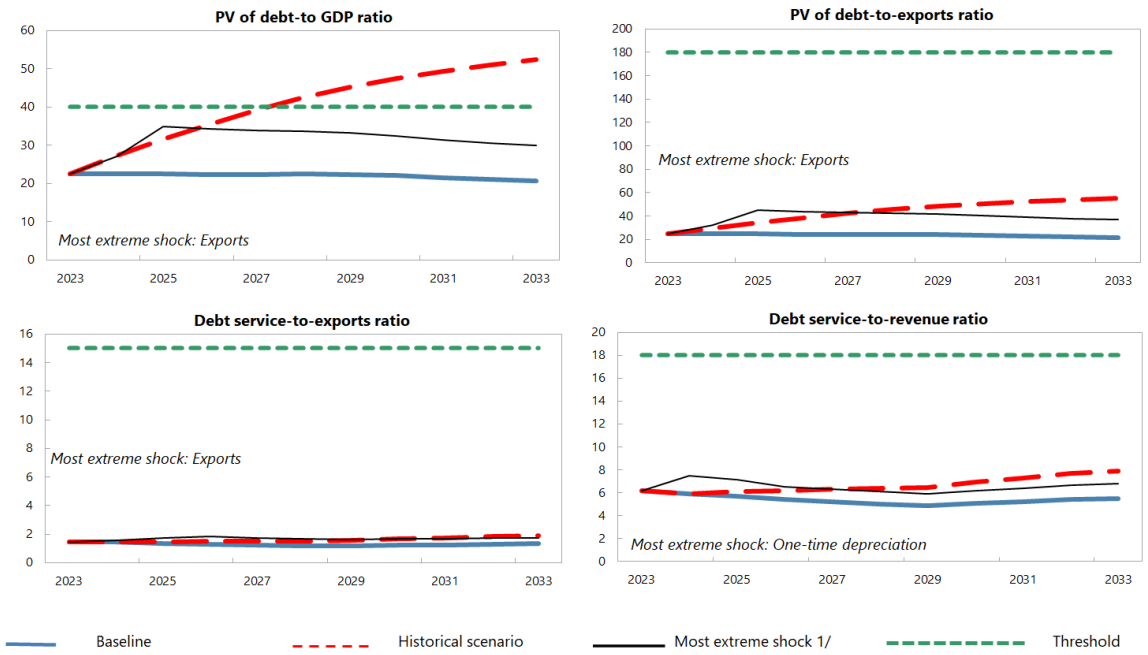
20. Cambodia remains at low risk of both external and overall debt distress. Public debt is projected to rise by around 4 percentage points of GDP during the next decade, but its level is set to stabilize. Moreover, the debt burden indicators are projected to remain well below their thresholds under the baseline and all the shock scenarios. Therefore, the external risk of debt distress is assessed to remain low. However, the analysis shows that debt sustainability remains vulnerable to shocks in exports and growth.

21. Potential vulnerabilities to growth and external shocks highlight the importance of maintaining fiscal discipline and public debt management while promoting long-term growth. In light of heightened global risks, targeted and managed fiscal measures are important to safeguard near-term recovery. This reinforces the need to preserve macroeconomic stability, diversify the economy and exports to increase resilience to external shocks, and improve spending efficiency and the successful implementation of the revenue mobilization strategy. Further efforts to implement sound public investment management and PPP frameworks and strengthen analysis of PPP risks are needed. Finally, the authorities should focus on closing data gaps, in particular regarding data on external private debt and the PPP stock.

Authorities' Views

22. The authorities expressed their strong commitment to debt sustainability. They closely monitor external and overall debt-related indicators. They will continue focusing on managing PPP risks and efforts to build their comprehensive PPP database—which would include PPP stock and its estimated contingent liabilities—are already underway. As part of the effort to ensure debt sustainability, the government is also continuing to develop domestic financial markets and agree with the importance of developing the government bond market.

Figure 1. Cambodia: Indicators of Public and Publicly Guaranteed External Debt under Alternatives Scenarios, 2023–2033



Customization of Default Settings 2/	Size	Interactions
Tailored Stress		
Combined CL	Yes	
Natural disaster	No	No
Commodity price	n.a.	n.a.
Market financing	No	No

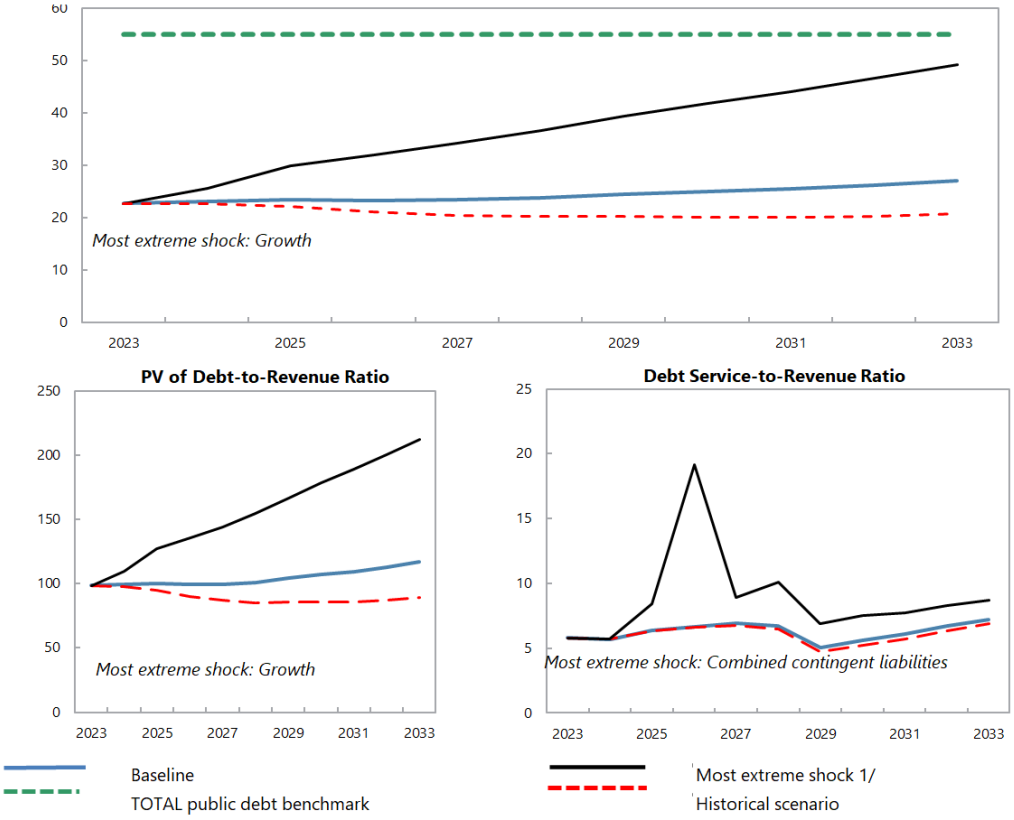
Note: "Yes" indicates any change to the size or interactions of the default settings for the stress tests. "n.a." indicates that the stress test does not apply.

Borrowing assumptions on additional financing needs resulting from the stress tests*	Default	User defined
Shares of marginal debt		
External PPG MLT debt	100%	
Terms of marginal debt		
Avg. nominal interest rate on new borrowing in USD	1.1%	1.1%
USD Discount rate	5.0%	5.0%
Avg. maturity (incl. grace period)	27	27
Avg. grace period	9	9

* Note: All the additional financing needs generated by the shocks under the stress tests are assumed to be covered by PPG external MLT debt in the external DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.
1/ The most extreme stress test is the test that yields the highest ratio in or before 2033. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.
2/ The magnitude of shocks used for the commodity price shock stress test are based on the commodity prices outlook prepared by the IMF research department.

Figure 2. Cambodia: Indicators of Public Debt Under Alternative Scenarios, 2023-2033



Borrowing assumptions on additional financing needs resulting from the stress tests*	Default	User defined
Shares of marginal debt		
External PPG medium and long-term	80%	83%
Domestic medium and long-term	20%	17%
Domestic short-term	0%	0%
Terms of marginal debt		
External MLT debt		
Avg. nominal interest rate on new borrowing in USD	1.1%	2.7%
Avg. maturity (incl. grace period)	27	20
Avg. grace period	9	9
Domestic MLT debt		
Avg. real interest rate on new borrowing	8.0%	2.0%
Avg. maturity (incl. grace period)	5	3
Avg. grace period	4	1
Domestic short-term debt		
Avg. real interest rate	-2.7%	3.0%

* Note: The public DSA allows for domestic financing to cover the additional financing needs generated by the shocks under the stress tests in the public DSA. Default terms of marginal debt are based on baseline 10-year projections.

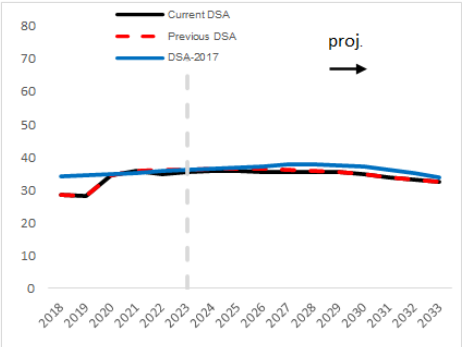
Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2033. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

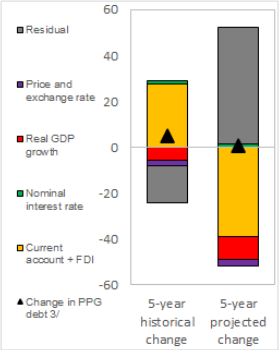
Figure 3. Cambodia: Drivers of Debt Dynamics - Baseline Scenario

External debt

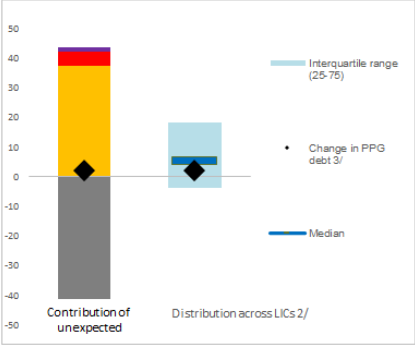
Gross Nominal PPG External Debt
(in percent of GDP; DSA vintages)



Debt-creating flows
(percent of GDP)

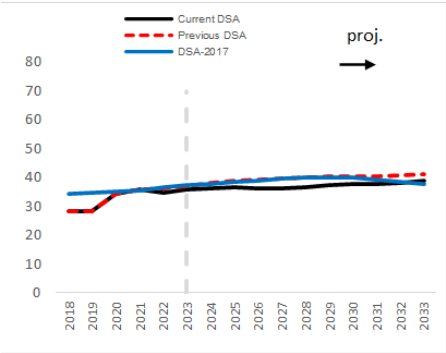


Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)

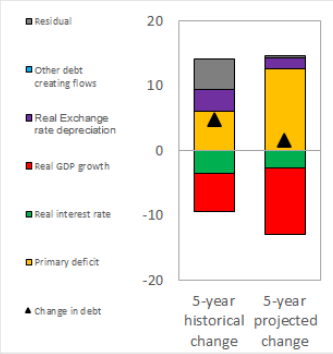


Public debt

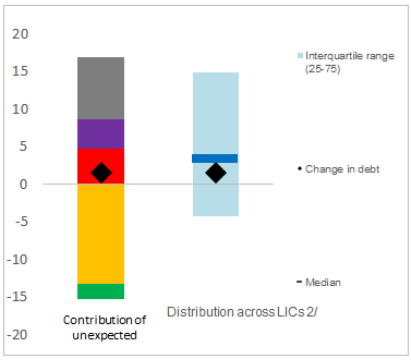
Gross Nominal Public Debt
(in percent of GDP; DSA vintages)



Debt-creating flows
(percent of GDP)



Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)



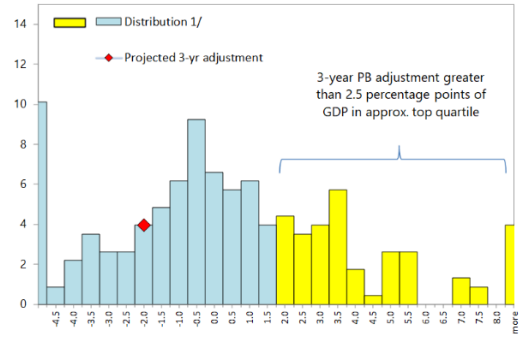
1/ Difference between anticipated and actual contributions on debt ratios.

2/ Distribution across LICs for which LIC DSAs were produced.

3/ Given the relatively low private external debt for average low-income countries, a ppt change in PPG external debt should be largely explained by the drivers of the external debt dynamics equation.

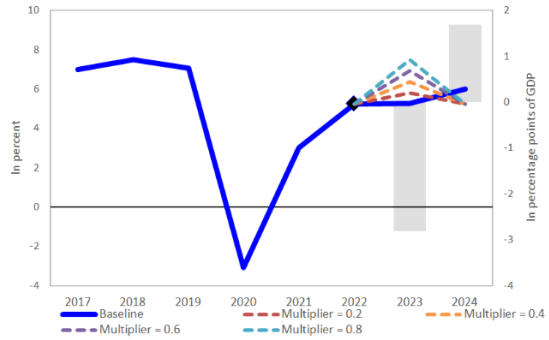
Figure 4. Cambodia: Realism tools

3-Year Adjustment in Primary Balance (Percentage points of GDP)



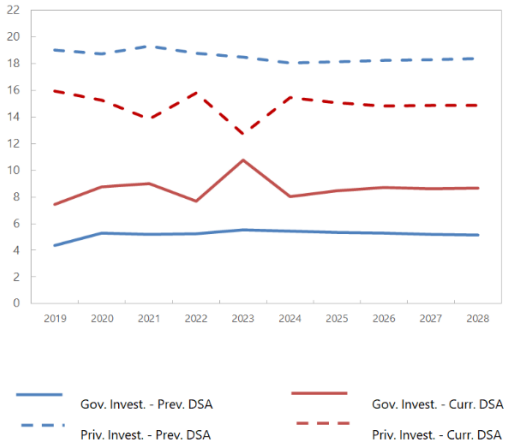
1/ Data cover Fund-supported programs for LICs (excluding emergency financing) approved since 1990. The size of 3-year adjustment from program inception is found on the horizontal axis; the percent of sample is found on the vertical axis.

Fiscal Adjustment and Possible Growth Paths 1/



1/ Bars refer to annual projected fiscal adjustment (right-hand side scale) and lines show possible real GDP growth paths under different fiscal multipliers (left-hand side scale).

Public and Private Investment Rates (percent of GDP)



Contribution to Real GDP growth (percent, 5-year average)

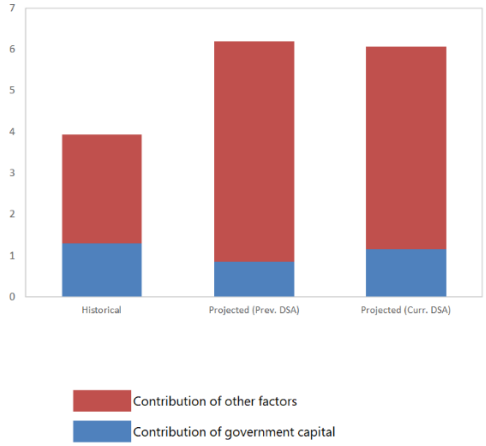
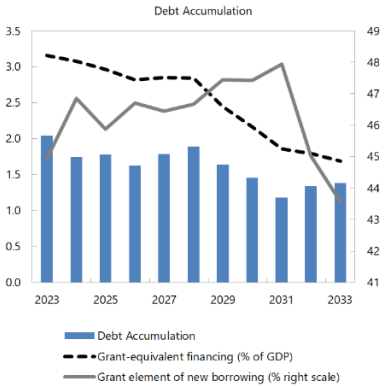
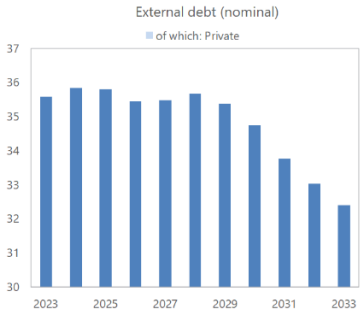


Table 1. Cambodia: External Debt Sustainability Framework, Baseline Scenario, 2020-2043
(In percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 7/	
	2020	2021	2022	2023	2024	2025	2026	2027	2028	2033	2043	Historical	Projections
External debt (nominal)	34.4	35.9	34.8	35.6	35.8	35.8	35.5	35.5	35.7	32.4	29.0	31.5	34.8
of which: public and publicly guaranteed (PPG)	34.4	35.9	34.8	35.6	35.8	35.8	35.5	35.5	35.7	32.4	29.0	31.5	34.8
Change in external debt	6.2	1.6	-1.1	0.8	0.2	0.0	-0.4	0.0	0.2	-0.6	-0.7		
Identified net debt-creating flows	-8.7	28.2	11.0	-13.0	-9.2	-8.9	-8.6	-8.1	-7.5	-5.4	-2.5	-0.7	-7.8
Non-interest current account deficit	3.0	41.7	25.8	1.9	5.7	5.7	5.7	5.8	6.1	6.4	6.2	13.3	5.7
Deficit in balance of goods and services	10.8	47.5	31.8	7.1	10.8	10.7	10.5	10.5	10.6	10.7	10.3	18.0	10.3
Exports	78.5	75.9	88.8	91.0	90.9	91.5	91.9	92.6	93.3	95.0	94.5		
Imports	89.3	123.4	120.6	98.1	101.7	102.2	102.4	103.1	103.8	105.6	104.8		
Net current transfers (negative = inflow)	-11.7	-11.1	-11.2	-10.4	-10.2	-9.9	-9.6	-9.3	-9.0	-7.9	-5.8	-9.7	-9.1
of which: official	-1.7	-1.9	-1.7	-1.6	-1.6	-1.5	-1.4	-1.4	-1.3	-1.2	-1.1		
Other current account flows (negative = net inflow)	4.0	5.3	5.2	5.2	5.1	4.9	4.8	4.7	4.5	3.6	1.7	5.0	4.5
Net FDI (negative = inflow)	-13.5	-12.8	-12.4	-13.4	-13.1	-12.8	-12.4	-12.1	-11.8	-10.1	-7.1	-12.2	-11.8
Endogenous debt dynamics 1/	1.8	-0.7	-2.5	-1.5	-1.7	-1.9	-1.9	-1.8	-1.8	-1.7	-1.5		
Contribution from nominal interest rate	0.3	0.3	0.3	0.2	0.2	0.3	0.3	0.3	0.3	0.3	0.4		
Contribution from real GDP growth	0.9	-1.0	-1.7	-1.7	-2.0	-2.1	-2.2	-2.1	-2.1	-2.0	-2.0		
Contribution from price and exchange rate changes	0.5	-0.1	-1.0	...	...	...	...	...	...	...	...		
Residual 2/	14.9	-26.6	-12.1	13.8	9.5	8.9	8.2	8.1	7.7	4.7	1.8	1.1	7.6
of which: exceptional financing	-0.1	-0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Sustainability indicators													
PV of PPG external debt-to-GDP ratio	...	...	21.9	22.4	22.5	22.5	22.3	22.3	22.5	20.6	19.4		
PV of PPG external debt-to-exports ratio	...	...	24.7	24.6	24.7	24.6	24.3	24.1	24.1	21.7	20.5		
PPG debt service-to-exports ratio	1.8	2.0	1.7	1.5	1.4	1.4	1.3	1.2	1.2	1.3	1.3		
PPG debt service-to-revenue ratio	6.4	7.5	6.7	6.2	5.9	5.7	5.4	5.2	5.0	5.5	5.3		
Gross external financing need (Million of U.S. dollars)	-2335.4	8093.4	4294.8	-3154.1	-2049.3	-2073.1	-2128.3	-2152.7	-2060.8	-1623.5	423.4		
Key macroeconomic assumptions													
Real GDP growth (in percent)	-3.1	3.0	5.2	5.3	6.0	6.4	6.5	6.2	6.3	6.6	7.2	5.5	6.3
GDP deflator in US dollar terms (change in percent)	-1.8	0.2	2.9	1.8	1.2	1.4	1.5	1.5	1.5	1.7	1.8	1.9	1.6
Effective interest rate (percent) 3/	1.1	1.0	0.9	0.7	0.7	0.8	0.8	0.9	0.9	1.1	1.5	1.1	0.9
Growth of exports of G&S (US dollar terms, in percent)	-4.1	-0.2	26.8	9.8	7.2	8.6	8.6	8.6	8.6	8.7	8.7	11.5	8.6
Growth of imports of G&S (US dollar terms, in percent)	-9.9	42.6	5.9	-12.9	11.2	8.5	8.3	8.5	8.7	8.6	8.7	13.1	6.9
Grant element of new public sector borrowing (in percent)	...	...	...	44.9	46.9	45.9	46.7	46.4	46.7	43.6	37.4	...	46.3
Government revenues (excluding grants, in percent of GDP)	22.0	20.0	22.2	21.7	21.9	22.0	22.1	22.2	22.4	22.7	23.0	19.8	22.3
Aid flows (in Million of US dollars) 4/	497.4	416.4	505.9	1390.5	1326.3	1263.6	1267.1	1389.5	1517.2	1264.2	1097.4		
Grant-equivalent financing (in percent of GDP) 5/	...	...	...	3.2	3.1	3.0	2.8	2.9	2.8	1.7	1.0	...	2.5
Grant-equivalent financing (in percent of external financing) 6/	...	...	...	57.7	61.0	60.5	61.9	60.7	59.9	51.2	38.8	...	58.6
Nominal GDP (Million of US dollars)	25,771	26,601	28,818	30,872	33,130	35,744	38,649	41,662	44,941	66,838	154,361		
Nominal dollar GDP growth	-4.9	3.2	8.3	7.1	7.3	7.9	8.1	7.8	7.9	8.5	9.1	7.5	7.9
Memorandum items:													
PV of external debt 7/	...	...	21.9	22.4	22.5	22.5	22.3	22.3	22.5	20.6	19.4		
In percent of exports	...	...	24.7	24.6	24.7	24.6	24.3	24.1	24.1	21.7	20.5		
Total external debt service-to-exports ratio	1.8	2.0	1.7	1.5	1.4	1.4	1.3	1.2	1.2	1.3	1.3		
PV of PPG external debt (in Million of US dollars)			6324.1	6912.7	7451.7	8039.2	8620.6	9310.2	10098.5	13772.4	29966.9		
(PVt-PVt-1)/GDPt-1 (in percent)				2.0	1.7	1.8	1.6	1.8	1.9	1.4	1.4		
Non-interest current account deficit that stabilizes debt ratio	-3.1	40.1	27.0	1.1	5.4	5.8	6.1	5.7	5.9	7.1	6.9		

Definition of external/domestic debt	Currency-based
Is there a material difference between the two criteria?	No





Sources: Country authorities; and staff estimates and projections.

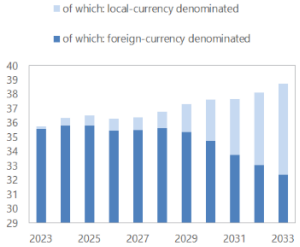
1/ Derived as [r - g - ρ(1+g)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, and ρ = growth rate of GDP deflator in U.S. dollar terms.
2/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.
3/ Current-year interest payments divided by previous period debt stock.
4/ Defined as grants, concessional loans, and debt relief.
5/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).
6/ Assumes that PV of private sector debt is equivalent to its face value.
7/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

Table 2. Cambodia: Public Sector Debt Sustainability Framework, Baseline Scenario, 2020-2043
(In percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 6/	
	2020	2021	2022	2023	2024	2025	2026	2027	2028	2033	2043	Historical	Projections
Public sector debt 1/	**34.4**	**35.9**	**34.8**	**35.8**	**36.3**	**36.5**	**36.3**	**36.4**	**36.8**	**38.7**	**39.6**	**31.5**	**37.1**
of which: external debt	**34.4**	**35.9**	**34.8**	**35.6**	**35.8**	**35.8**	**35.5**	**35.5**	**35.7**	**32.4**	**29.0**	**31.5**	**34.8**
Change in public sector debt	6.2	1.6	-1.1	1.0	0.6	0.2	-0.2	0.1	0.4	0.6	-0.8		
Identified debt-creating flows	**4.8**	**6.0**	**-1.9**	**0.7**	**-0.8**	**-0.1**	**0.0**	**-0.2**	**-0.3**	**-0.1**	**0.1**	**-0.7**	**-0.1**
Primary deficit	**3.0**	**6.7**	**0.6**	**3.4**	**1.7**	**2.5**	**2.6**	**2.3**	**2.3**	**2.4**	**2.5**	**1.0**	**2.4**
Revenue and grants	23.9	21.6	23.9	23.0	23.2	23.3	23.4	23.5	23.6	23.2	23.1	**22.1**	**23.3**
of which: grants	1.9	1.6	1.8	1.3	1.3	1.3	1.3	1.2	1.2	0.4	0.1		
Primary (noninterest) expenditure	27.0	28.3	24.5	26.4	24.9	25.8	26.0	25.8	25.8	25.5	25.5	**23.1**	**25.7**
Automatic debt dynamics	**1.8**	**-0.7**	**-2.5**	**-2.7**	**-2.5**	**-2.6**	**-2.6**	**-2.5**	**-2.5**	**-2.4**	**-2.3**		
Contribution from interest rate/growth differential	0.8	-2.1	-3.7	-2.7	-2.5	-2.6	-2.6	-2.5	-2.5	-2.4	-2.3		
of which: contribution from average real interest rate	-0.1	-1.1	-1.9	-1.0	-0.5	-0.4	-0.4	-0.4	-0.4	-0.1	0.4		
of which: contribution from real GDP growth	0.9	-1.0	-1.8	-1.7	-2.0	-2.2	-2.2	-2.1	-2.2	-2.4	-2.7		
Contribution from real exchange rate depreciation	0.9	1.4	1.3	...	...	...	...	...	...	...	...		
Other identified debt-creating flows	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**
Privatization receipts (negative)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Recognition of contingent liabilities (e.g., bank recapitalization)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Debt relief (HIPC and other)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Other debt creating or reducing flow (please specify)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Residual	**1.4**	**-4.4**	**0.7**	**0.3**	**1.3**	**0.4**	**-0.2**	**0.3**	**0.7**	**0.7**	**-0.9**	**1.1**	**0.5**
Sustainability indicators													
PV of public debt-to-GDP ratio 2/	**...**	**...**	**22.1**	**22.7**	**23.1**	**23.4**	**23.3**	**23.4**	**23.8**	**27.1**	**30.2**		
PV of public debt-to-revenue and grants ratio	**...**	**...**	**92.1**	**98.7**	**99.7**	**100.2**	**99.4**	**99.5**	**100.8**	**116.9**	**130.9**		
PV of public debt-to-revenue ratio	**...**	**...**	**99.4**	**104.5**	**105.8**	**106.2**	**105.3**	**105.1**	**106.2**	**119.2**	**131.3**		
Debt service-to-revenue and grants ratio 3/	**5.9**	**6.9**	**6.2**	**5.8**	**5.7**	**6.3**	**6.7**	**6.9**	**6.7**	**7.2**	**13.5**		
Debt service-to-revenue ratio 3/	**6.4**	**7.5**	**6.7**	**6.2**	**6.1**	**6.7**	**7.0**	**7.3**	**7.0**	**7.4**	**13.6**		
Gross financing need 4/	4.5	8.2	2.1	4.8	3.1	3.9	4.2	3.9	3.9	4.0	5.6		
Key macroeconomic and fiscal assumptions													
Real GDP growth (in percent)	-3.1	3.0	5.2	5.3	6.0	6.4	6.5	6.2	6.3	6.6	7.2	**5.5**	**6.3**
Average nominal interest rate on external debt (in percent)	1.1	1.0	0.9	0.7	0.7	0.8	0.8	0.9	0.9	1.1	1.5	**1.1**	**0.9**
Average real interest rate on domestic debt (in percent)	1.8	-0.3	-3.0	-2.1	12.3	11.5	10.5	9.1	7.7	6.0	5.9	**-1.1**	**7.3**
Real exchange rate depreciation (in percent, + indicates depreciation)	3.1	4.3	3.9	...	...	...	...	...	...	...	...	**0.7**	**...**
Inflation rate (GDP deflator, in percent)	-0.7	1.3	4.1	2.9	2.4	2.5	2.6	2.6	2.6	2.8	2.9	**2.3**	**2.7**
Growth of real primary spending (deflated by GDP deflator, in percent)	11.3	8.0	-8.6	13.3	0.0	10.0	7.6	5.3	6.5	6.6	7.2	**7.1**	**6.7**
Primary deficit that stabilizes the debt-to-GDP ratio 5/	-3.1	5.1	1.7	2.4	1.2	2.3	2.9	2.2	1.8	1.8	3.2	**1.3**	**2.1**
PV of contingent liabilities (not included in public sector debt)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		

Definition of external/domestic debt	**Currency-based**
Is there a material difference between the two criteria?	**No**

Public sector debt 1/



Sources: Country authorities; and staff estimates and projections.
1/ Coverage of debt: The central government, central bank, government-guaranteed debt, non-guaranteed SOE debt . Definition of external debt is Currency-based.
2/ The underlying PV of external debt-to-GDP ratio under the public DSA differs from the external DSA with the size of differences depending on exchange rates projections.
3/ Debt service is defined as the sum of interest and amortization of medium and long-term, and short-term debt.
4/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period and other debt creating/reducing flows.
5/ Defined as a primary deficit minus a change in the public debt-to-GDP ratio ((-): a primary surplus), which would stabilizes the debt ratio only in the year in question.
6/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

Table 3. Cambodia: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2023–2033

(In percent)

	Projections 1/										
	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033
PV of debt-to GDP ratio											
Baseline	22	22	22	22	22	22	22	22	21	21	21
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	22	27	31	35	39	**42**	**45**	**48**	**49**	**51**	**52**
B. Bound Tests											
B1. Real GDP growth	22	24	25	25	25	25	25	25	24	24	23
B2. Primary balance	22	24	28	27	28	27	27	27	26	25	25
B3. Exports	22	27	35	34	34	34	33	32	31	31	30
B4. Other flows 3/	22	25	27	26	26	26	26	25	25	24	24
B5. Depreciation	22	28	25	25	25	26	25	25	24	24	24
B6. Combination of B1-B5	22	29	31	31	30	30	30	30	29	28	27
C. Tailored Tests											
C1. Combined contingent liabilities	22	33	33	34	34	34	33	32	31	31	30
C2. Natural disaster	22	29	29	30	30	30	30	30	29	29	28
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	22	22	22	22	22	22	22	22	21	21	21
Threshold	40	40	40	40	40	40	40	40	40	40	40
PV of debt-to-exports ratio											
Baseline	25	25	25	24	24	24	24	23	23	22	22
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	25	30	34	38	42	46	48	50	52	54	55
B. Bound Tests											
B1. Real GDP growth	25	25	25	24	24	24	24	23	23	22	22
B2. Primary balance	25	27	30	30	30	29	29	28	27	27	26
B3. Exports	25	32	45	44	43	42	41	40	39	38	37
B4. Other flows 3/	25	27	29	29	28	28	28	27	26	26	25
B5. Depreciation	25	25	22	22	22	22	22	21	21	20	20
B6. Combination of B1-B5	25	31	30	32	32	32	31	30	29	29	28
C. Tailored Tests											
C1. Combined contingent liabilities	25	37	36	37	36	36	35	34	33	32	32
C2. Natural disaster	25	33	33	33	33	33	33	32	31	31	30
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	25	25	25	24	24	24	24	23	23	22	22
Threshold	180	180	180	180	180	180	180	180	180	180	180
Debt service-to-exports ratio											
Baseline	1	1	1	1	1	1	1	1	1	1	1
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	1	1	1	1	2	2	2	2	2	2	2
B. Bound Tests											
B1. Real GDP growth	1	1	1	1	1	1	1	1	1	1	1
B2. Primary balance	1	1	2	2	2	1	1	1	1	2	2
B3. Exports	1	2	2	2	2	2	2	2	2	2	2
B4. Other flows 3/	1	1	1	1	1	1	1	1	1	1	1
B5. Depreciation	1	1	1	1	1	1	1	1	1	1	1
B6. Combination of B1-B5	1	1	2	2	1	1	1	1	1	1	2
C. Tailored Tests											
C1. Combined contingent liabilities	1	1	2	2	2	2	2	2	2	2	2
C2. Natural disaster	1	1	2	2	2	1	1	2	2	2	2
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	1	1	1	1	1	1	1	1	1	1	1
Threshold	15	15	15	15	15	15	15	15	15	15	15
Debt service-to-revenue ratio											
Baseline	6	6	6	5	5	5	5	5	5	5	6
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	6	6	6	6	6	6	6	7	7	8	8
B. Bound Tests											
B1. Real GDP growth	6	6	6	6	6	6	5	6	6	6	6
B2. Primary balance	6	6	6	7	6	6	6	6	6	6	6
B3. Exports	6	6	6	6	6	6	6	6	6	6	6
B4. Other flows 3/	6	6	6	6	6	5	5	5	5	6	6
B5. Depreciation	6	7	7	7	6	6	6	6	6	7	7
B6. Combination of B1-B5	6	6	7	7	6	6	6	6	6	6	6
C. Tailored Tests											
C1. Combined contingent liabilities	6	6	7	7	7	7	6	7	7	7	7
C2. Natural disaster	6	6	7	6	6	6	6	6	6	6	6
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	6	6	6	5	5	5	5	5	5	5	6
Threshold	18	18	18	18	18	18	18	18	18	18	18

Sources: Country authorities; and staff estimates and projections.
1/ A bold value indicates a breach of the threshold.
2/ Variables include real GDP growth, GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.
3/ Includes official and private transfers and FDI.

Table 4. Cambodia: Sensitivity Analysis for Key Indicators of Public Debt, 2023–2033

	Projections 1/										
	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033
PV of Debt-to-GDP Ratio											
Baseline	23	23	23	23	23	24	24	25	25	26	27
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	23	23	22	21	20	20	20	20	20	20	21
B. Bound Tests											
B1. Real GDP growth	23	26	30	32	34	37	39	42	44	47	49
B2. Primary balance	23	25	29	29	29	29	29	30	30	31	31
B3. Exports	23	27	35	35	35	35	35	35	35	35	36
B4. Other flows 3/	23	25	28	27	27	28	28	29	29	29	30
B5. Depreciation	23	28	26	24	22	20	19	18	17	17	16
B6. Combination of B1-B5	23	24	26	26	26	27	27	28	29	29	30
C. Tailored Tests											
C1. Combined contingent liabilities	23	37	37	36	35	35	35	36	36	36	37
C2. Natural disaster	23	32	32	31	32	32	33	33	34	34	35
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	23	23	23	23	23	24	24	25	25	26	27
TOTAL public debt benchmark	55	55	55	55	55	55	55	55	55	55	55
PV of Debt-to-Revenue Ratio											
Baseline	99	100	100	99	99	101	104	107	109	113	117
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	99	98	95	90	87	85	86	86	86	87	89
B. Bound Tests											
B1. Real GDP growth	99	110	127	135	144	154	166	178	189	200	212
B2. Primary balance	99	109	126	124	122	123	125	127	129	132	135
B3. Exports	99	118	152	149	147	146	148	150	151	153	155
B4. Other flows 3/	99	110	118	117	116	117	120	122	124	127	130
B5. Depreciation	99	120	111	102	94	87	83	79	75	72	70
B6. Combination of B1-B5	99	102	110	110	111	113	117	120	123	127	131
C. Tailored Tests											
C1. Combined contingent liabilities	99	159	157	152	150	150	151	153	153	155	158
C2. Natural disaster	99	137	137	134	134	135	139	142	144	147	151
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	99	100	100	99	99	101	104	107	109	113	117
Debt Service-to-Revenue Ratio											
Baseline	6	6	6	7	7	7	5	6	6	7	7
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	6	6	6	7	7	6	5	5	6	6	7
B. Bound Tests											
B1. Real GDP growth	6	6	7	9	10	11	9	10	11	12	13
B2. Primary balance	6	6	7	10	10	8	7	7	7	8	8
B3. Exports	6	6	7	8	8	8	6	6	7	7	8
B4. Other flows 3/	6	6	7	7	7	7	5	6	6	7	7
B5. Depreciation	6	6	8	8	7	7	5	6	6	7	7
B6. Combination of B1-B5	6	6	8	8	9	9	7	7	8	8	9
C. Tailored Tests											
C1. Combined contingent liabilities	6	6	8	19	9	10	7	8	8	8	9
C2. Natural disaster	6	6	8	14	8	9	7	7	8	8	9
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	6	6	6	7	7	7	5	6	6	7	7

Sources: Country authorities; and staff estimates and projections.
1/ A bold value indicates a breach of the benchmark.
2/ Variables include real GDP growth, GDP deflator and primary deficit in percent of GDP.
3/ Includes official and private transfers and FDI.